FANG

This note frames the current earnings base for FANG with emphasis on profitability, capital structure, and cash-flow durability.

Revenue	Net Income
$15.0B	$1.66B
35.8%	-50.1%

Operating Margin	Free Cash Flow
8.4%	$7.79B
-78.8%	38.5%

At a glance

- Revenue is $15.0B with 35.8% change versus the prior period.
- Net income is $1.66B, indicating current earnings scale.
- Balance sheet reads at 0.34x debt-to-equity and 0.42x current ratio.

Executive Summary

FANG — Current period: 2025-12-31 | Prior period: 2024-12-31

Diamondback Energy reported revenue of $15.0 billion, a 35.8% increase from the previous year, but net income declined by 50.1% to $1.7 billion. The company's operating margin was 8.4%, and net margin was 11.1%, with earnings per share at $5.73, down 63.1% year over year. The firm's total assets grew by 5.6% to $71.1 billion, while its return on equity was 3.9%, and its current ratio was 0.42x, indicating limited short term liquidity.

Current balance-sheet and cash profile: leverage at 0.34x, current ratio 0.42x, free cash flow $7.79B.

Profitability

- Operating margin is 8.4% (-78.8% vs prior); this defines current earnings conversion on sales.
- Net margin is 11.1% (-63.3% vs prior); this captures current bottom-line efficiency.

Balance Sheet & Liquidity

- Debt-to-equity is 0.34x (3.6% vs prior); this frames leverage sensitivity and refinancing exposure.
- Current ratio is 0.42x (-5.1% vs prior); this measures near-term liquidity headroom.

Cash Flow & Risk

- Free cash flow is $7.79B (38.5% vs prior); this tests earnings quality and funding flexibility.
- Operating cash flow is $8.76B (36.6% vs prior); this shows internal cash generation capacity.

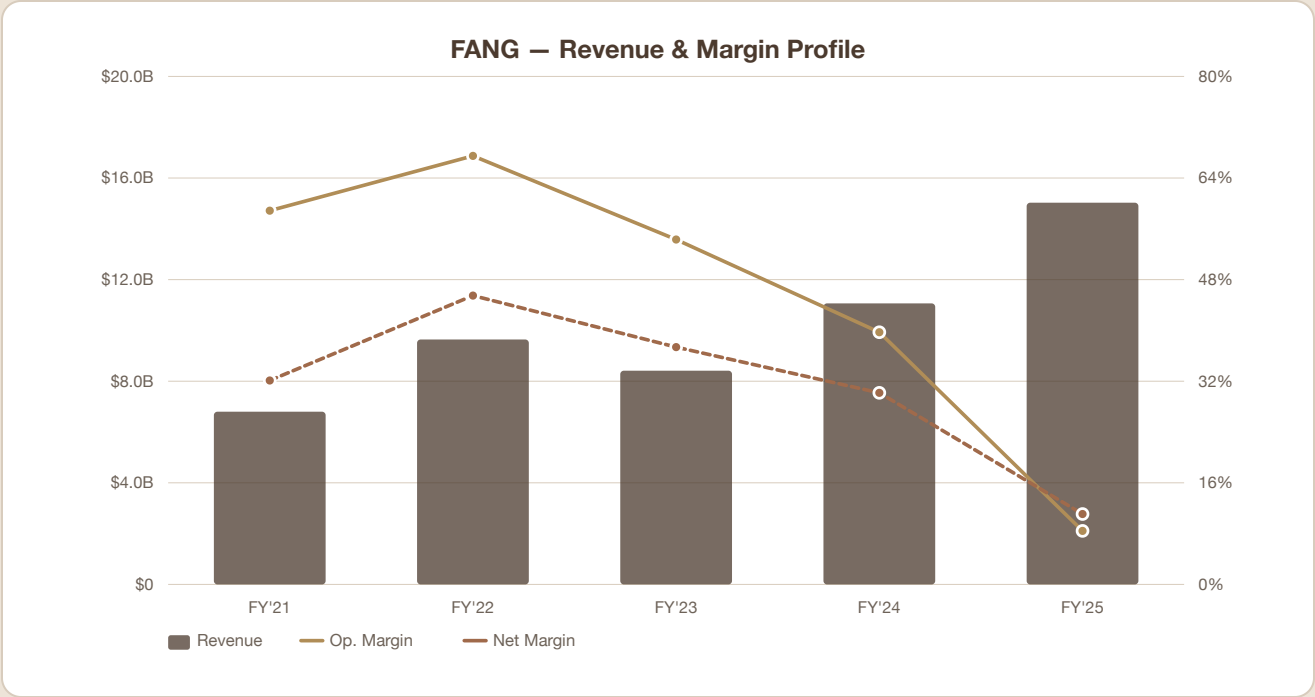
Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$15.0B	$11.1B	35.8%
Net Income	$1.66B	$3.34B	-50.1%
Operating Margin	8.4%	39.7%	-78.8%
Debt-to-Equity	0.34x	0.33x	3.6%
Current Ratio	0.42x	0.44x	-5.1%
Free Cash Flow	$7.79B	$5.63B	38.5%

Revenue	Net Income	Operating Margin	Free Cash Flow
$15.0B	$1.66B	8.4%	$7.79B

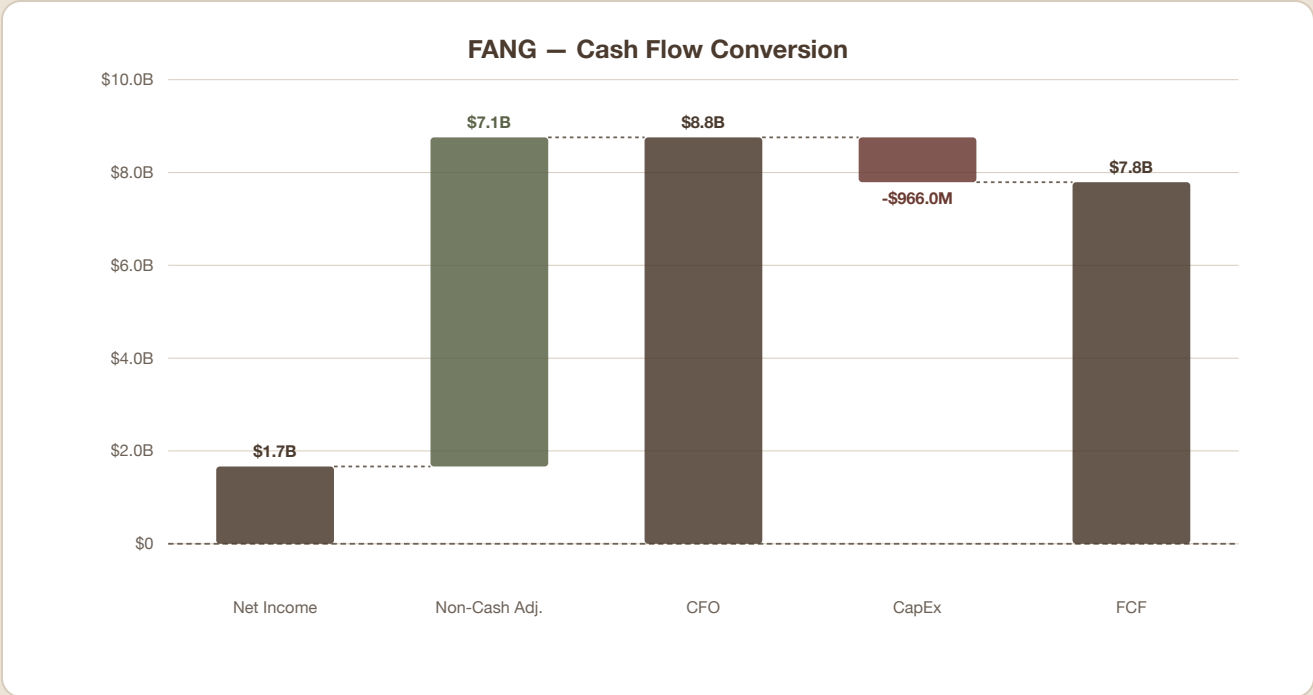
Visual Highlights I

FANG — Current period: 2025-12-31 | Prior period: 2024-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.

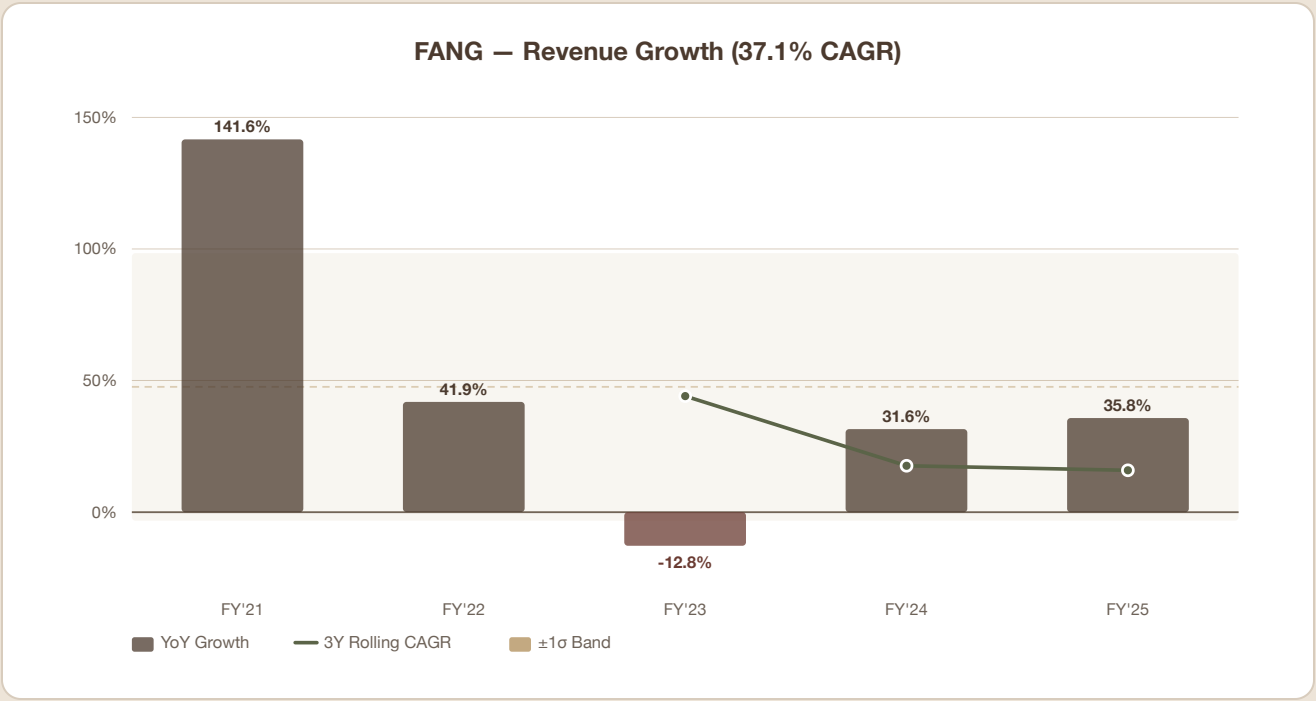


Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Visual Highlights II

FANG — Current period: 2025-12-31 | Prior period: 2024-12-31



Revenue Growth

Year-over-year growth path and stability over the latest annual periods.

Interpretation Snapshot

Key interpretation anchors from the same annual data used in the charts.

- Return on equity is 3.9%, indicating current capital productivity.
- Debt-to-equity stands at 0.34x, a direct read on leverage sensitivity.
- Current ratio is 0.42x, framing near-term liquidity coverage.
- Operating cash flow is $8.8B.

Key Metrics Dashboard

FANG — Current period: 2025-12-31 | Prior period: 2024-12-31

Profitability

Metric	Current Value	Prior Period	Change (%)
Operating Margin	8.4%	39.7%	-78.8%
Net Margin	11.1%	30.2%	-63.3%
Return on Equity	3.9%	8.4%	-53.8%
Return on Assets	2.3%	5.0%	-52.8%

Liquidity & Leverage

Metric	Current Value	Prior Period	Change (%)
Current Ratio	0.42x	0.44x	-5.1%
Quick Ratio	0.40x	0.41x	-4.1%
Debt-to-Equity	0.34x	0.33x	3.6%

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$15.0B	$11.1B	35.8%
Net Income	$1.66B	$3.34B	-50.1%
Operating Income	$1.27B	$4.40B	-71.2%
Total Assets	$71.1B	$67.3B	5.6%
Stockholders' Equity	$43.0B	$39.9B	7.8%
Total Liabilities	$28.1B	$27.4B	2.4%

Key Metrics Dashboard (Cont.)

FANG — Current period: 2025-12-31 | Prior period: 2024-12-31

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$8.76B	$6.41B	36.6%
Free Cash Flow	$7.79B	$5.63B	38.5%
Capital Expenditures	$0.97B	$0.79B	22.7%
Earnings Per Share (Diluted)	$5.73	$15.53	-63.1%
Book Value Per Share	$150.98	$136.99	10.2%

Secondary Metrics

Metric	Current Value	Prior Period	Note
Current Assets	$1.92B	$2.11B	Deterministic carry-through from appendix source lines
Current Liabilities	$4.60B	$4.81B	Deterministic carry-through from appendix source lines
Cash & Equivalents	$0.10B	$0.16B	Deterministic carry-through from appendix source lines
Long-Term Debt	$13.7B	$12.1B	Deterministic carry-through from appendix source lines
Short-Term Debt	$0.76B	$0.90B	Deterministic carry-through from appendix source lines
Shares Outstanding	284.6M	291.0M	Deterministic carry-through from appendix source lines

Commentary

FANG — Current period: 2025-12-31 | Prior period: 2024-12-31

What stands out

- Revenue is $15.0B, with 35.8% growth versus the prior annual filing.
- Net income is $1.66B, with -50.1% change year over year.
- Operating margin is 8.4% and net margin is 11.1%, indicating current earnings conversion and bottom-line retention.

Watch items

- Current ratio is 0.42x, indicating tight near-term liquidity coverage.
- Revenue growth of 35.8% is unusually large and should be checked for base effects.

Analyst interpretation

- FANG currently combines scale and profitability, but the key decision point is whether margin and cash conversion stay consistent across the next filings.
- Balance-sheet posture is best read jointly: debt-to-equity at 0.34x and current ratio at 0.42x.
- Cash generation remains a central validation point, with free cash flow at $7.79B in the latest annual period.

Next Filing Checklist

- Confirm whether FANG can sustain revenue at $15.0B through the next filing cycle.
- Track free cash flow conversion versus earnings; current reference is $7.79B.
- Reassess leverage and liquidity together (0.34x debt-to-equity, 0.42x current ratio).

Appendix

FANG — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix A — FANG Income Statement

Metric	FY2025	FY2024	FY2023
Revenue	$15.0B	$11.1B	$8.41B
Operating Expenses	$13.8B	$6.67B	$3.84B
Operating Income	$1.27B	$4.40B	$4.57B
Net Income	$1.66B	$3.34B	$3.14B
EPS (Basic)	$5.73	$15.53	$17.34
EPS (Diluted)	$5.73	$15.53	$17.34
SG&A Expenses	$0.29B	$0.21B	$0.15B

Appendix B — FANG Balance Sheet

Metric	FY2025	FY2024	FY2023
Shares Outstanding	284.6M	291.0M	178.7M
Total Assets	$71.1B	$67.3B	$29.0B
Total Liabilities	$28.1B	$27.4B	$11.6B
Stockholders' Equity	$43.0B	$39.9B	$17.4B
Current Assets	$1.92B	$2.11B	$1.62B
Current Liabilities	$4.60B	$4.81B	$2.11B
Cash & Equivalents	$0.10B	$0.16B	$0.58B
Total Debt	N/A	N/A	$6.64B
Long-Term Debt	$13.7B	$12.1B	$6.64B
Short-Term Debt	$0.76B	$0.90B	$0.00B
Inventory	$0.09B	$0.12B	$0.06B
Accounts Receivable	$1.13B	$1.39B	$0.65B

Appendix C — FANG Cash Flow Statement

Metric	FY2025	FY2024	FY2023
Operating Cash Flow	$8.76B	$6.41B	$5.92B
Capital Expenditures	$0.97B	$0.79B	$0.62B
Investing Cash Flow	-$7.81B	-$11.2B	-$3.32B
Financing Cash Flow	-$1.01B	$4.39B	-$2.18B
Dividends Paid	$1.16B	$1.58B	$1.44B
Share Repurchases	N/A	$0.96B	$0.84B

Data Sources & Notes

Ticker	Form	Filed	Primary Document
FANG	10-K	2026-02-25	https://www.sec.gov/Archives/edgar/data/1539838/000153983826000010/fang-20251231.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Comparisons reflect each issuer's latest annual filing period unless otherwise noted.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-05. Retrieval date: 2026-03-05.

Disclaimer: For research use only; not investment advice.